

What Friday Asked You to Believe

A note for a closed Saturday, on what to do with the very strong impression Friday's payroll print left behind.

THE READING

July payrolls fell 23,000 against a consensus near a gain of 83,000, and May and June were revised down by a combined 103,000. The two-year yield dropped to 4.19%, its lowest since mid-July. The ten-year eased toward 4.59%, the floor of Hedgeye's 4.59–4.74 band. The dollar index slipped 0.5% to 99.43.

Gold set a record near \$4,356 — above the 4,331 ceiling of its own risk range — and Hedgeye covered every remaining precious-metals short. Odds of a September hike, the leaning case that morning, fell to about 44%. The mood is not fear. It is resolution: one number settled a fortnight of argument, and the market paid up for the settling.

WHAT WISDOM WOULD SAY

Epictetus, in the Discourses, gives a small practice for forceful impressions. When one arrives, do not be carried off by it. Say to it: wait a little, let me see what you are and what you are an impression of; let me test you. The Enchiridion opens by dividing the world into what is ours and what is not, and the faculty that grants or withholds assent sits on the near side of that line.

Friday's impression is not the minus 23,000. That is a fact, and a fact is not an impression. The impression is what arrived attached to it: the labour market has turned, the Fed is trapped, the currency is the thing that gets spent, own the metal. Some of that may prove right. None of it was established by the print.

The revisions make the case without help. A hundred and three thousand jobs were removed from a spring that had already been traded, and July will be restated in September on the same schedule. The number being assented to today is provisional, and the direction the provisional numbers have been moving is already known.

THE RISK IT JUSTIFIES

The impression is loudest where the price is worst. Gold near \$4,356 sits above the 4,331 top of its own range; adding on Monday buys the conclusion at the level the conclusion has already reached. That is a position to leave alone — not because the case is wrong, but because the entry has gone. The short-duration hedge is the mirror image: with the ten-year at the 4.59% floor, the range says the move is finished rather than starting, which argues for holding what is on rather than pressing it. Nothing new goes on today.

What would change the answer: gold holding above 4,331 for two closes, which turns a spike into a trend; a ten-year closing through 4.59%, which says the bond market has more to say than one print; and next week's CPI, which either confirms Quad 3 or ends it.

Which part of Friday was the number, and which part was what you were told it meant?